

NOVEMBER 2022 FORECAST

FY2023 THRU FY2027

Brecksville-Broadview Heights City School District

Craig Yaniglos, CFO

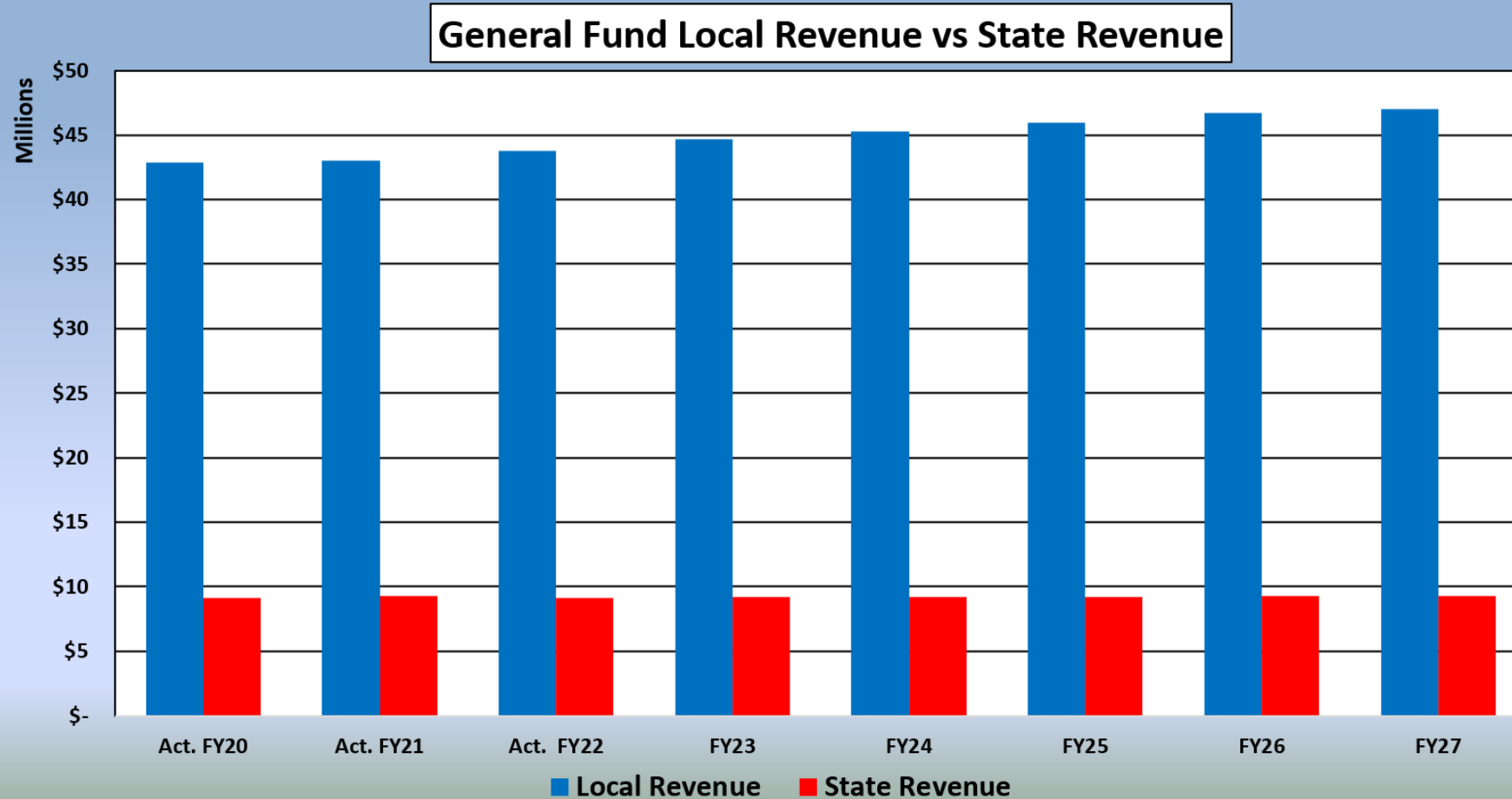
WHAT IS A FORECAST?

A forecast is a snapshot at a specific point in time and based off the most current information available.

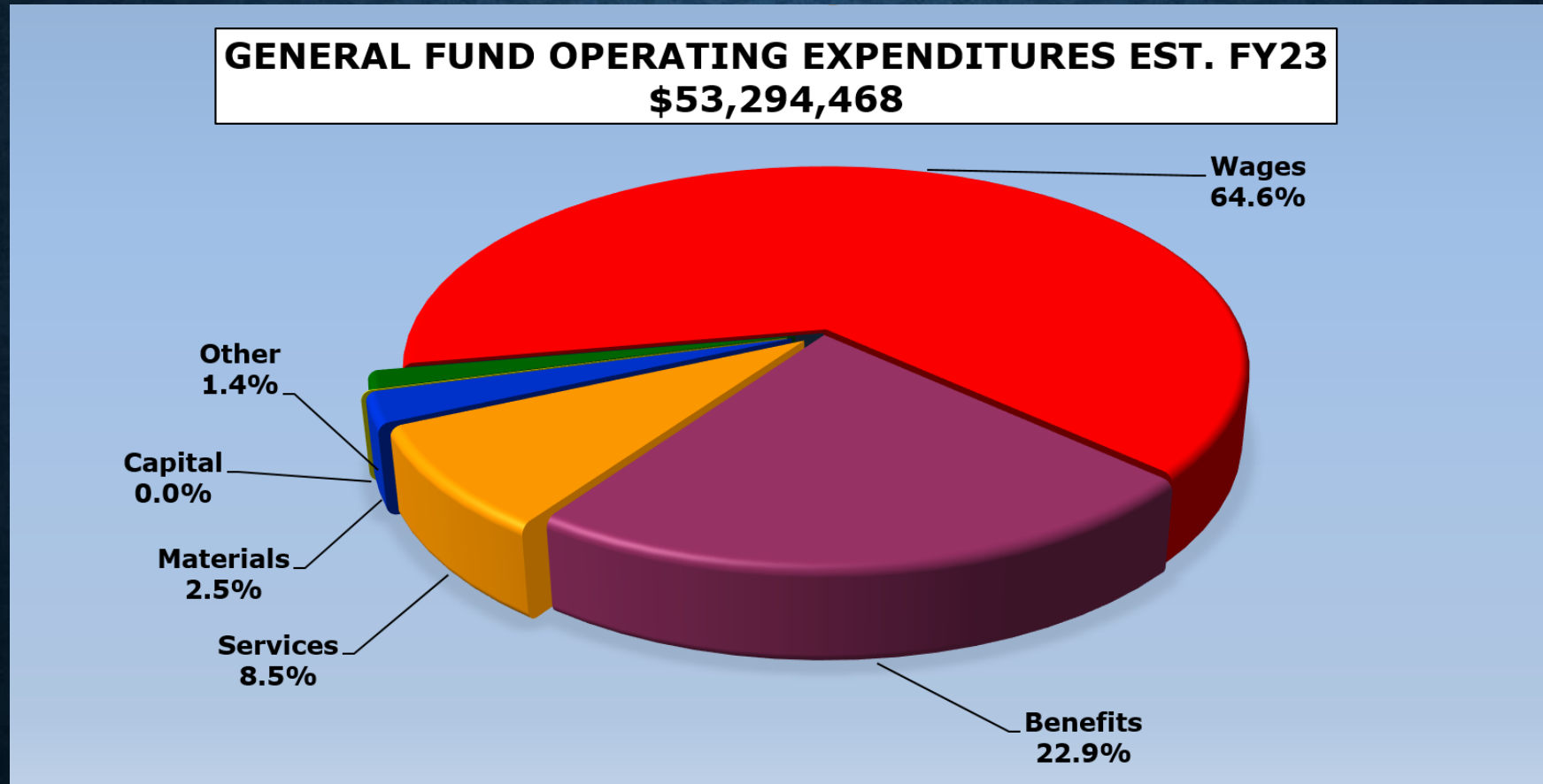
Disclaimers:

1. A forecast is a living document and can change within hours or days of publication.
2. Assumptions laid out in this presentation in no way represent a baseline for any current or future negotiations with CBAs.
3. BBHCSD continues to monitor its financial situation in what seems to be the post pandemic era – including the most current economic factors.
4. The forecast includes potential revenues regarding the Sherwin Williams/Valor Acres TIF.

THE STATE OF OHIO IS NOT AN EQUAL PARTNER IN FUNDING!

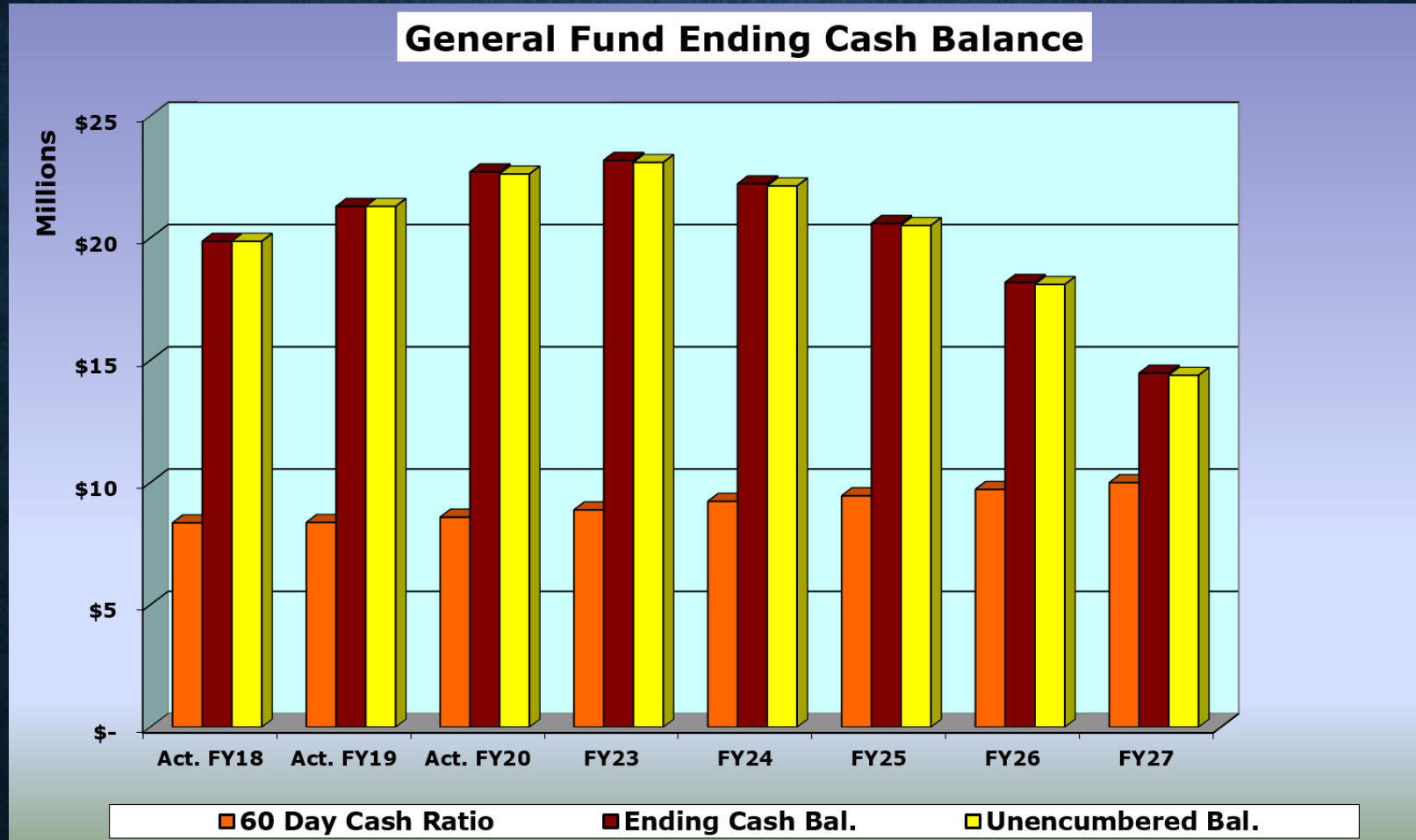


EST. GENERAL FUND EXPENDITURES FY23



- Wages and benefits estimated at 87.5% which is high but is now inflated more since HB110 reduced expenses with direct payments. This is an increase of .4% from the May Forecast

ENDING CASH BALANCE



- 60 Day Cash Balance is a state recommended minimum. At 60 days of cash, the district will struggle during certain times of the year to make on-time payments with vendors (November thru February).
- FY23 is projected to be at 158 days of cash, while FY27 is projected to be at 88.

KIS STATEMENT

What changed? In short, not much!
FY22/FY23 changed the most.

		Actual			Forecasted				
		Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year
		2019	2020	2021	2022	2023	2024	2025	2026
2.08	Total Revenues	50,675,340	52,824,524	52,262,181	52,819,344	53,736,269	53,743,319	54,100,706	54,439,704
5.05	Total Expenditures	48,846,294	50,432,787	50,837,045	52,037,188	53,674,803	54,988,326	56,283,707	57,783,392
6.01	Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses	1,829,046	2,391,737	1,425,136	782,156	61,466	(1,245,007)	(2,183,001)	(3,343,688)
7.01	Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies	15,646,447	17,475,493	19,867,230	21,292,366	22,074,522	22,135,988	20,890,982	18,707,980
7.02	Cash Balance June 30	17,475,493	19,867,230	21,292,366	22,074,522	22,135,988	20,890,982	18,707,980	15,364,292
	Reservations	0	0	0	150,000	150,000	150,000	150,000	150,000
11.30	Cumulative Balance of Renewal Levies	0	0	0	0	0	0	0	0
15.01	Unreserved Fund Balance June 30	17,475,493	19,867,230	21,292,366	21,924,522	21,985,988	20,740,982	18,557,980	15,214,292

		Actual			Forecasted				
		Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year	Fiscal Year
		2020	2021	2022	2023	2024	2025	2026	2027
2.08	Total Revenues	52,824,524	52,262,181	53,012,606	53,925,226	54,487,628	55,205,841	55,978,781	56,328,208
5.05	Total Expenditures	50,432,787	50,837,045	51,599,271	53,454,468	55,447,969	56,822,222	58,391,348	60,040,334
6.01	Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses	2,391,737	1,425,136	1,413,335	470,759	(960,341)	(1,616,381)	(2,412,567)	(3,712,126)
7.01	Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies	17,475,491	19,867,228	21,292,364	22,705,699	23,176,458	22,216,117	20,599,736	18,187,169
7.02	Cash Balance June 30	19,867,228	21,292,364	22,705,699	23,176,458	22,216,117	20,599,736	18,187,169	14,475,043
	Reservations	0	0	87,403	87,403	87,403	87,403	87,403	87,403
11.30	Cumulative Balance of Renewal Levies	0	0	0	0	0	0	0	0
15.01	Unreserved Fund Balance June 30	19,867,228	21,292,364	22,618,296	23,089,055	22,128,714	20,512,333	18,099,766	14,387,640

Estimated millage required to cover deficit = 2.71

GENERAL COMMENTS

- Due to various changes in preschool we did incur additional staffing from our last forecast in May 2022.
- As we recently discussed, with large class size concerns at BBHES – we are currently hiring 3 additional certified staff members. The total impact cannot be known until the full hiring process occurs.
 - From the May 2022 Forecast “We factored in as much as we could in anticipation of the new building for next year. There will undoubtedly be changes as we get closer to that date. We still don’t know what we don’t know.”
- We will continue to monitor HB126 implications. This has potential to reduce local revenues which could create the need for an operating levy sooner than anticipated.

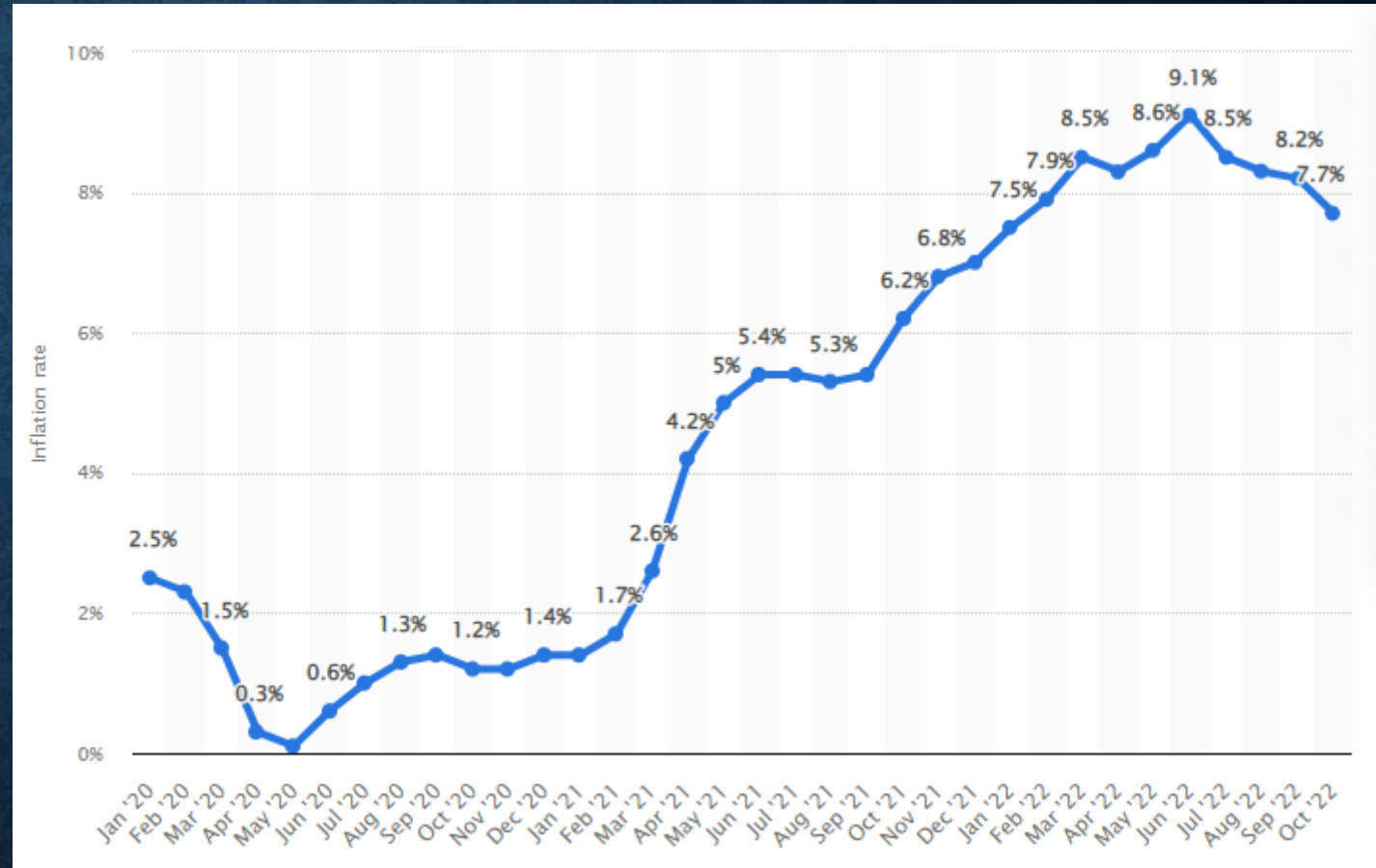
- TIF Estimates:

Payments In Lieu of Taxes	152,259	320,656	681,201	1,115,425	1,252,193
---------------------------	---------	---------	---------	-----------	-----------

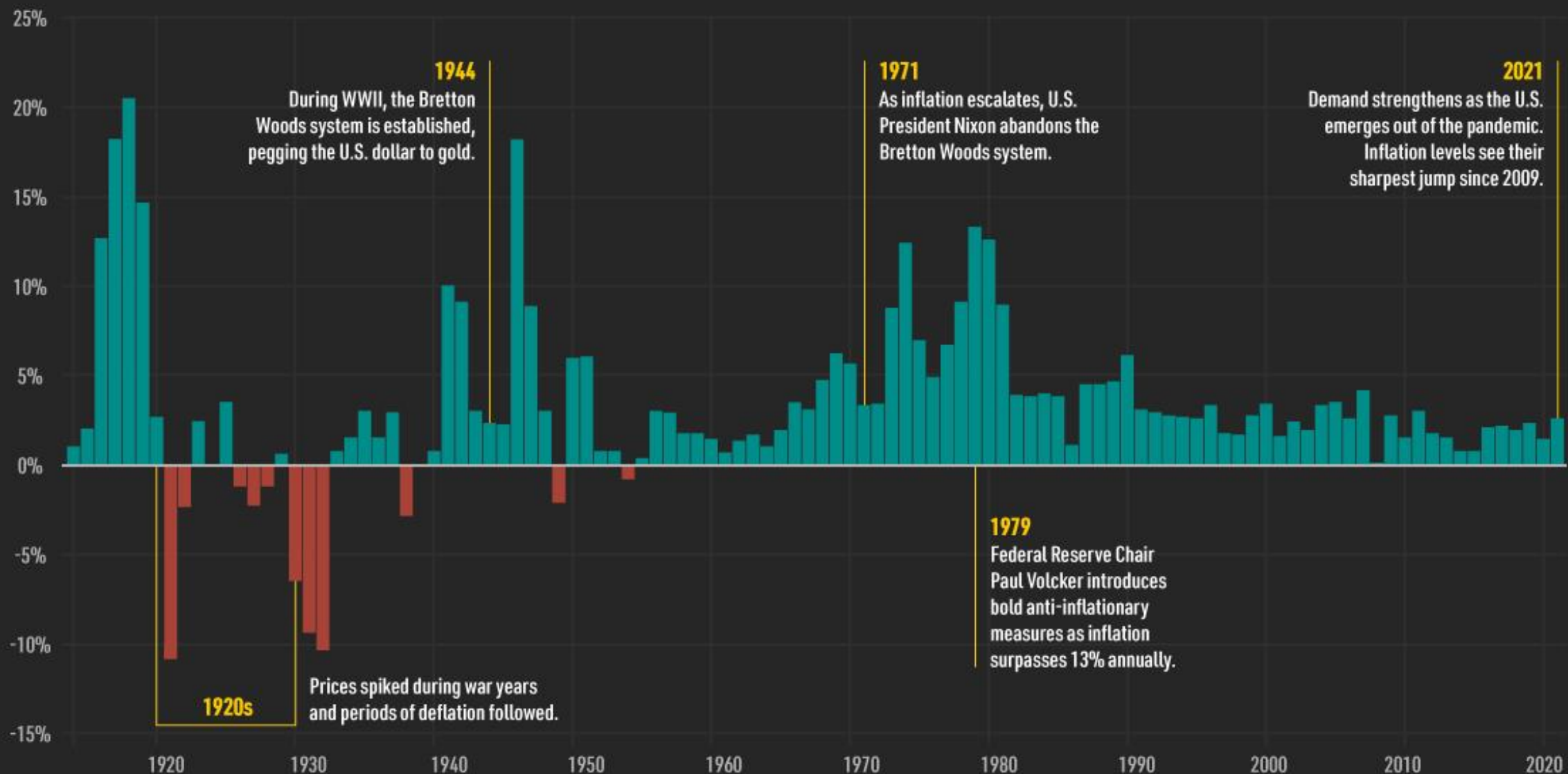
- We maintain our financial stability for now; however, we need to be cautious. Deficit spending can quickly get out of control and compounds.

GENERAL COMMENTS CONTINUED

- Economic Factors will continue to be monitored
 - Rather than be too reactive now, we will continue to keep a close eye on inflation over the next few months. Currently inflation is on the decline (as interest rates rise) and supply chain in certain sectors of the economy are beginning to rebound. As supply increases, we could expect some prices to fall.
 - When inflation is high, the district should curb any and all unnecessary spending. With high interest rates, the district can benefit from additional interest earnings.



Charting U.S. Inflation Over 100 Years



KEEPING A CAREFUL WATCH

- Potential Levy Cycle
 - As mentioned earlier, the deficit in 2027 would need at least a 2.7mill levy just to cover the operating deficit. Given the forecast, the Board should consider when to potentially place an operating levy on the ballot. At this time, the recommendation would be late 2025 or early 2026. Again, many factors can change this timeline.
- Things that will affect this levy cycle estimate moving forward:
 - Inflation
 - State Funding
 - More unfunded mandates such as dyslexia training, preschool regulations, etc.
 - Enrollment